

The vision of a decentralized autonomous organization like The DAO is somewhat like autonomous vehicles—whereas humans used to have to drive cars, the cars increasingly can drive themselves. Similarly, whereas humans used to be needed for all aspects of business processes, often in manual paper pushing, approval, orchestration, and so on, a decentralized autonomous organization can codify much of those processes so that the company better drives itself. As exciting as the concept was, The DAO was nearly Ethereum’s undoing.

The creators of The DAO implemented a crowdfunding effort. Theirs surpassed the amount raised by Ethereum by nearly an order of magnitude, setting the record for the largest amount ever raised in this manner: over \$168 million.²⁴ The crowdfunding required that investments be made with ether, and because of this, by the end of the crowdfunding period The DAO team held 11.5 million ether, or 15 percent of all the ether created to that point.

While enthusiasm and interest in The DAO was clear, some developers were concerned it was not ready for prime time. A paper published by a group of computer scientists who examined the workings of The DAO expressed concern that there were major security vulnerabilities that threatened its pending release on Ethereum’s network. “The current implementation can enable attacks with severe consequences,” explained Dino Mark, Vlad Zamfir, and Emin Gün Sirer.²⁵

Subsequently, there was a call for a moratorium on activity around The DAO until the issues were satisfactorily